Question 7: If the respondent agreed with the statement and reported a high degree of confidence in the response, then susceptibility to certainty overconfidence is likely. If the respondent disagreed with the statement, and did so with 50 to 100 percent confidence, then susceptibility to certainty overconfidence is less likely. If respondents agree but with low degrees of confidence, then they are unlikely to be susceptible to certainty overconfidence. Confidence in one's knowledge can be assessed, in general, with questions of the following kind:

Which Australian city has more inhabitants—Sydney or Melbourne?

How confident are you that your answer is correct? Choose one: 50 percent, 60 percent, 70 percent, 80 percent, 90 percent, 100 percent.

If you answer 50 percent, then you are guessing. If you answer 100 percent, then you are absolutely sure of your answer.

Two decades of research into this topic have demonstrated that in all cases wherein subjects have reported 100 percent certainty when answering a question like the Australia one, the relative frequency of correct answers has been about 80 percent. Where subjects have reported, on average, that they feel 90 percent certain of their answers, the relative frequency of correct answers has averaged 75 percent. Subjects reporting 80 percent confidence in their answers have been correct about 65 percent of the time, and so on.

Question 8: Respondents describing themselves as sophisticated or highly sophisticated investors are likelier than others to exhibit certainty overconfidence. If the respondent chose "somewhat sophisticated" or "unsophisticated," susceptibility is less likely.

ADVICE

Overconfidence is one of the most detrimental biases that an investor can exhibit. This is because underestimating downside risk, trading too frequently and/or trading in pursuit of the "next hot stock," and holding an underdiversified portfolio all pose serious "hazards to your wealth" (to borrow from Barber and Odean's phrasing). Prediction and certainty overconfidence have been discussed and diagnosed separately, but the advice presented here deals with overconfidence in an across-the-board, undifferentiated manner. Investors susceptible to either brand of overconfidence should be mindful of all four of the detrimental behaviors identified in the feature box. None of these tendencies, of course, is unavoidable, but each occurs with high relative frequency in overconfident investors.